

HOUSE No. 31

So much of the recommendations of the Massachusetts Teachers' Retirement System (House, No. 26) as relates to reducing delinquent pension reporting

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to reducing delinquent pension reporting.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 18 of Chapter 32 of the general laws is hereby amended by striking
2 out subdivision (1A) and inserting in place thereof the following subdivision:

3 (1A) Filing of Reports and Penalties for Failure to File. — The treasurer or other
4 disbursing officer in charge of payroll in any governmental unit or agency to which a system
5 pertains, upon request from the board or the commission shall submit such written information as
6 shall be required by the provisions of section one to twenty-eight, inclusive, or by rules and
7 regulations of the board or the commission consistent with the law, including but not limited to
8 employment status forms, service and salary verifications, and information necessary to perform
9 employer data audits and process record corrections arising therefrom. If the board or the
10 commission determines that there has been unreasonable delay in filing of any such required
11 information, the board or the commission shall so notify in writing such treasurer or other
12 disbursing officer and the chief executive officer for the governmental unit that if such required
13 information is not received within 30 days, the governmental unit is subject to a noncompliance

penalty of \$100 per day. If within thirty days thereafter, the board or the commission has not received such required information, it may impose all or any portion of the penalty provided in this paragraph for as many days as the employer remains noncompliant. Any such penalties collected shall be deposited in the commonwealth pension liability fund or the applicable board's pension fund and used to offset the operating expenses of the board or commission imposing the penalty. The board or the commission may petition the superior court to compel compliance with this section and enforce the penalty thereunder.

SECTION 2. Subdivision (1) of Section 22 of Chapter 32 of the general laws is hereby amended by striking out clause (i) and inserting the following three clauses:

(1)(i) In the case of employers whose employees include members of the teachers' retirement system, the various amounts withheld for any month for deposit in the annuity savings fund of such system shall, together with accurate and complete data reports therefor in a format prescribed by the teachers' retirement board, be transmitted by the employer's disbursing authorities to the board on or before the tenth day of the next succeeding month. The board shall thereupon credit the accounts of such members with their respective deductions and pay all such sums received to the state treasurer for deposit in the annuity savings fund of such system.

(ii) Notwithstanding any other provision of section one to twenty-eight, inclusive, any such withholdings not remitted by the tenth day of the next succeeding month shall be subject to an interest penalty, which shall accrue on a monthly basis at the rate of the system's then effective actuarial assumed rate of return for each month or fraction thereof that they remain unpaid. The board may abate all or any part of the interest upon its determination that the employer had not willfully, intentionally, through gross negligence, or through a pattern of

negligence failed to timely or accurately remit contributions. All such interest payments received by the board shall be deposited in the expense fund of the teachers' retirement system. The board may petition the superior court to compel compliance with this provision and enforce the penalty thereunder.

(iii) Notwithstanding any other provision of section one to twenty-eight, inclusive, said employers are subject to a penalty of \$100 per day for noncompliance with the data reporting requirements of subparagraph (i), including data that was not timely remitted or data that cannot be posted to members' accounts at the times designated by the board due to data reporting errors by the employer. Before said penalty is assessed, the board shall notify the disbursing officer and chief executive officer of the employer in writing of the noncompliance, identifying the reasons for the finding of noncompliance, and shall request the employer to resolve the noncompliance within 30 days. Upon expiration of the 30-day period, if said data reporting requirements are not satisfied, the employer is subject to said penalty for each subsequent day the employer remains noncompliant. The board may abate all or part of the penalties upon its determination that the employer had not willfully, intentionally, through gross negligence, or through a pattern of negligence failed to timely or accurately remit the data reports. All such penalties collected by the board shall be deposited in the expense fund of the teachers' retirement system. The board may petition the superior court to compel compliance with this provision and enforce the penalty thereunder.

SECTION 3. Sections 1 and 2 shall take effect as of January 1, 2022.